Yugen Chen

yugen.chen@usc.edu
+1 (323) 401-6528
https://yugenchen.github.io/

USC Dornsife
Dana and David Dornsife
College of Letters, Arts and Sciences
Department of Economics

Kaprielian Hall 300
3620 South Vermont Avenue
Los Angeles, CA 90089

Placement Director: Vittorio Bassi, vbassi@usc.edu
Placement Director: Michael Droste, droste@usc.edu
Placement Administrator: Annie Le, anniele@usc.edu

Education

University of Southern California (USC)
Ph.D. Economics (expected) 2027
University of Wisconsin-Madison (UW-Madison)
M.S. Economics 2020
University of Edinburgh (UoE)
M.S. Economics 2017
Huazhong Agricultural University (HZAU)
B.A. Economics 2016

Fields

Empirical Industrial Organisation, Health Economics, Applied Microeconomics

Research Interests

Pharmacy Benefit Managers (PBMs), Pharmaceutical Markets, Market Power, and Network Design

References

Matthew E. Kahn (Chair)
Department of Economics, USC
kahnme@usc.edu

Dima M. Qato (Co-Chair)
Mann School of Pharmacy, USC
qato@usc.edu

Darius Lakdawalla
Price School of Public Policy, USC
dlakdawa@usc.edu

Jonathan Cohen
Keck School of Medicine, USC
jecohen@usc.edu

Job Market Paper

The Cure Can Be Worse Than the Disease: Network Design and Cost Sharing in Medicare

Pharmacy benefit managers (PBMs) negotiate with pharmacies and steer patients through cost sharing. I examine how losing a potential replacement for an incumbent preferred pharmacy affects these incentives. In a bargaining model, replacement threats and copay steering are imperfect substitutes: when preferred designations adjust slowly, losing a cost-competitive nonpreferred alternative widens the dispensing-cost difference between tiers, increasing the gains from steering toward preferred pharmacies. Using 2019–2022 generic prescription data from stand-alone Medicare Part D plans, I compare local markets around closing nonpreferred pharmacies that could replace preferred incumbents with markets around eligible pharmacies that close later in an event-stacked event study design. In the first post-closure quarter, the nonpreferred-minus-preferred out-of-pocket payment gap during initial coverage increases by $3.13 per 30-day supply, approximately 42 percent of the reference gap. The preferred-minus-nonpreferred prescription-count difference also increases early. Subsequent payment-gap estimates are smaller and statistically insignificant, while preferred designations gradually change. Payment-gap responses are small during the deductible phase, following preferred pharmacy closures, and in the vertically integrated CVS/Aetna/Caremark subsample. These findings suggest that supplier alternatives shape patient price incentives and that policies expanding preferred access should account for subsequent adjustments in cost sharing.

Working Papers

Sticky Fingers? Retention of Negotiated Drug Discounts by Pharmacy Benefit Managers *with Alice Chen and Darius Lakdawalla*

We study how confidential rebates affect producer surplus across the U.S. pharmaceutical supply chain. Using the July 11, 2019, rescission of a proposed rebate pass-through rule as an unanticipated shock, we estimate how investors value rebate confidentiality. The rescission increased market capitalization for PBMs with rebate aggregators by 6.86% and insurers without PBMs by 6.09%, while reducing market capitalization for brand-name manufacturers by 2.81%. Our estimates imply that PBMs retain only 1.9% to 7.4% of rebates, but that share represents 26% to 62% of PBM profits. Results are consistent with confidential rebates redistributing surplus from manufacturers to intermediaries without creating value and potentially leading to 3.7 fewer drug approvals annually.

The Relationship Between Mortality and Unemployment in 36 OECD Countries

This paper examines whether the relationship between unemployment and mortality varies over the business cycle and with the strength of social welfare systems, using data from 36 OECD countries from 1979–2016. I distinguish short- and long-term unemployment and estimate dynamic panel models using fixed effects, Difference GMM, System GMM, and bias-corrected LSDV. The results suggest that social welfare spending attenuates the association between unemployment fluctuations and mortality. A 1% increase in the expenditure-to-GDP ratio for incapacity and health programs reduces the mortality response associated with a 1% decline in unemployment by approximately 0.14% and 0.04%, respectively. The attenuation is particularly pronounced for long-term unemployment and becomes roughly four times larger in the long run.

Publications

Chen Y. Impact of Federal Global Health Spending on California's Economy. *California Global Health Leadership Initiative*. 2026. [Link].

Qato DM, **Chen Y**, Van Nuys K. Pharmacy Benefit Manager Market Concentration for Prescriptions Filled at Retail Pharmacies by State and Payer Type. *JAMA Health Forum*. 2026;7(2):e256546. [Link].

Qato DM, **Chen Y**, Van Nuys K. Pharmacy Benefit Manager Market Concentration for Prescriptions Filled at US Retail Pharmacies. *JAMA*. 2024;332(15):1298–1299. [Link].

Work in Progress

Private Labeling and Co-labeling by Pharmacy Benefit Managers (with Alice Chen and Darius Lakdawalla)

Beneficiary Financial Burden and Pharmacy Benefit Manager Market Concentration (with Dima Qato and Christopher Scannell)

U.S. Retail Pharmacy Landscape (with Dima Qato and Christopher Scannell)

Awards

The First-class Prize for Academic Excellence (4X)	2013–2015
Prize for Active Study Individual	10/2014
Merit Student	12/2013
National Endeavor Scholarship	10/2013

Research Positions

Research Assistant to Professor Timothy Armstrong, USC	2022–2023
Research Assistant to Professor Karen Van Nuys, USC	2023–2025
Research Assistant to Professor Alice Chen, USC	2025–Present
Research Lead, USC (supervised by Professor Jonathan Cohen)	2026–Present

Teaching	Teaching Assistant, *Practice of Econometrics* (ECON 513), USC	Fa2022–Sp2023
	Tutor, *Microeconomics II*, UoE	Fa2017
Presentations	2025: USC-NCPA Pharmacy Access Initiative	
Academic Service	Referee: *Journal of Urban Health*	
Software Skills	Stata/Mata, MATLAB, R, Python, LaTeX	
Languages	Mandarin (native), English (fluent)	
Citizenship	People's Republic of China	